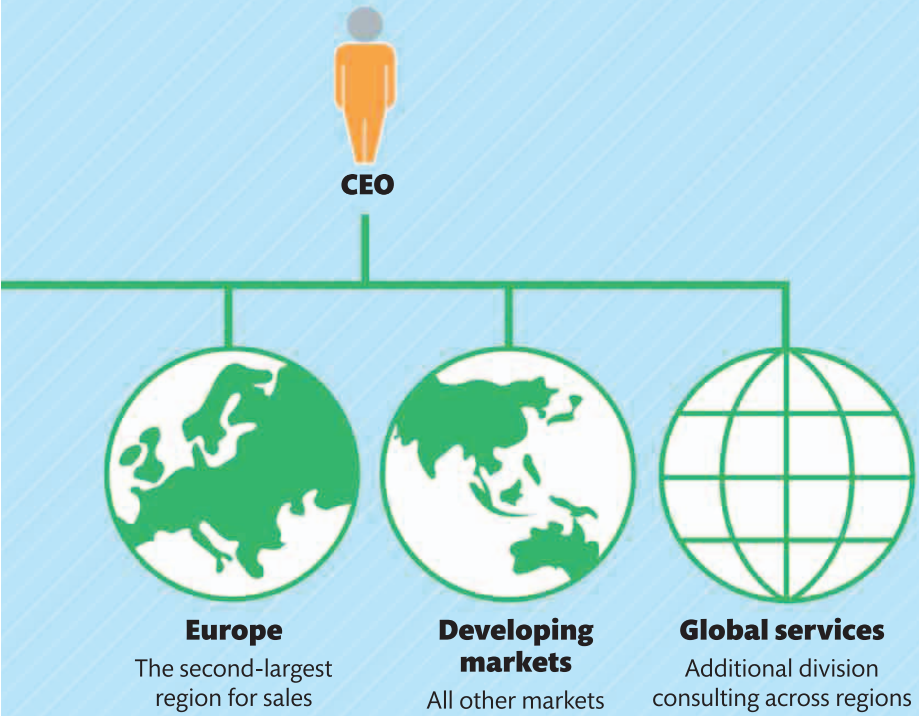
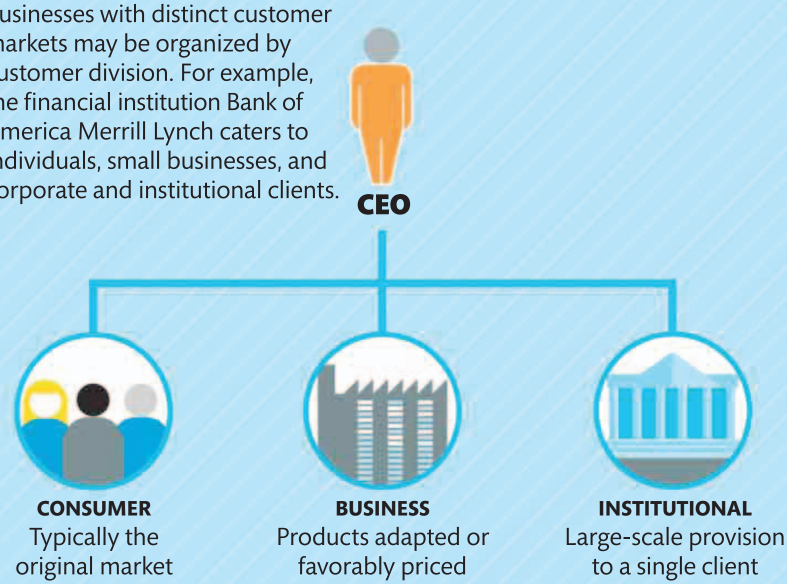


Division by customer type

Businesses with distinct customer markets may be organized by customer division. For example, the financial institution Bank of America Merrill Lynch caters to individuals, small businesses, and corporate and institutional clients.



CASE STUDY

Printer technology and services company Xerox has restructured several times to align the business with the main markets that buy its products. In 1992, Xerox's high-profile change from a functional to a new divisional structure, with nine self-contained divisions each serving a particular customer type, hit the headlines. This also allowed the company to focus on its core business—digital publishing, color copying, and printing.

Dividing the company by market location is another strategy Xerox has used successfully. In 2006, each division was organized once again, geographically, to ensure that those making the decisions were closest to the customers in each market.

7%

the increase in Xerox's share value when it announced its move from a functional to a divisional structure in 1992